

Hedge Fund Risk Compliance Rules Explained in Plain English

Executive summary

Hedge funds are usually **private “pooled” investment vehicles** whose shares are not sold to the general public, and the regulatory focus is often on the **manager/adviser** and on **how the fund trades** rather than on the fund being a “retail product.” In the U.S., for example, the SEC explains that private funds are not registered as investment companies, cannot publicly offer their securities, and are structured to fit exclusions such as **Investment Company Act sections 3(c)(1) or 3(c)(7)**. ¹

Across the U.S., EU, and UK, hedge fund “risk compliance” is best understood as a **stack of guardrails** that (a) limit who can invest, (b) require a baseline governance and surveillance program, (c) constrain leverage and short selling either directly (EU/UK) or indirectly through broker/margin rules (U.S.), and (d) prohibit market abuse such as insider trading and manipulation. EU law, for instance, explicitly requires AIFMs (alternative investment fund managers) to separate risk management from portfolio management, run stress tests, set maximum leverage, and implement liquidity risk management systems for most funds. ²

A key “freshness” point for U.S. readers: the SEC adopted sweeping private fund adviser rules in August 2023, but the SEC states that a Fifth Circuit decision on **June 5, 2024** vacated (“threw out”) those newly adopted private fund rules and related amendments. That means those specific 2023 private-fund-specific requirements are **not currently in effect**; compliance falls back to existing Advisers Act rules (compliance program, custody, books/records, anti-fraud) and other regimes. ³

What makes hedge funds feel “different” from retail trading is less about having special legal privileges and more about having **institutional plumbing and mandatory processes**: multiple compliance gates before orders go out, daily risk reporting, prime broker margining, independent valuation practices, and trade surveillance. EU market-abuse law even requires firms and trading venues to maintain systems to detect suspicious orders/transactions and report them “without delay.” ⁴

Retail traders can legally “borrow” many hedge-fund-like practices—especially **position sizing, pre-trade checklists, liquidity awareness, and disciplined post-trade review**—without needing hedge-fund infrastructure. The main boundaries are legal/ethical: do not trade on material nonpublic information (MNPI), do not manipulate markets, and understand short-selling and margin mechanics. ⁵

Regulatory rules and agencies that govern hedge fund risk compliance

A useful mental model is that regulation hits hedge funds at three layers: **fund offering rules, manager/adviser rules**, and **market/trading integrity rules**.

U.S. overview (SEC, CFTC, FinCEN, FINRA, Federal Reserve)

In the U.S., hedge funds are commonly “private funds.” The SEC describes private funds as not registered as investment companies, not allowed to publicly offer securities, and typically structured to fit Investment Company Act exclusions such as **3(c)(1)** (traditional limit on beneficial owners) or **3(c)(7)** (limited to “qualified purchasers”). ¹ Investor eligibility is a core investor-protection mechanism: many investors must be “accredited investors,” a status defined in **Rule 501(a) of Regulation D**, which the SEC summarizes as being based on wealth/income or other sophistication measures. ⁶

The manager—often an SEC-registered investment adviser (RIA)—is the main regulated entity. SEC materials on adviser electronic filing note that Title IV of Dodd-Frank required, among other things, advisers to hedge funds and other private funds to register with the SEC (shifting some oversight from states and using thresholds such as \$100 million AUM for SEC registration). ⁷ Advisers (registered or required to be registered) must maintain a compliance program under **Rule 206(4)-7**—i.e., adopt and implement written policies and procedures, review them at least annually, and designate a CCO. ⁸ Advisers also owe a fiduciary duty to clients, which the SEC reaffirmed and discussed in its 2019 interpretation release (IA-5248).

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Reporting and systemic-risk oversight (U.S.)

Two reports matter for many hedge-fund managers:

- **Form PF (confidential)**: The SEC explains that Form PF is a confidential reporting form for certain SEC-registered advisers to private funds, meant to help FSOC monitor systemic risk and to bolster SEC oversight and investor protection. ¹⁰ In the Form PF adopting release text, Form PF instructions state (among other criteria) that advisers must file if they manage private funds and have at least **\$150 million in private fund assets under management** as of fiscal year-end. ¹¹
- **Form 13F (public holdings disclosure)**: SEC rules require institutional investment managers with investment discretion over **\$100 million or more** in Section 13(f) securities to file Form 13F quarterly (within 45 days after quarter-end). ¹²

Short selling (U.S.) is governed primarily through SEC Regulation SHO. The SEC’s own “Key Points” page summarizes the major requirements: brokers must mark orders, comply with the **locate** requirement before effecting a short sale, comply with **close-out** rules for failures to deliver, and comply with the **Rule 201 price-test circuit breaker** when a stock falls at least 10% in a day (with restrictions lasting that day and the next). ¹³ In other words: you usually can’t short unless your broker has reason to believe shares can be borrowed, and settlement failures must be cleaned up quickly.

Insider trading and market fraud (U.S.) are policed under broad anti-fraud rules. **Rule 10b-5** prohibits manipulative or deceptive devices in connection with buying/selling securities. ¹⁴ SEC rules such as **Rule 10b5-1** describe insider trading as buying/selling “on the basis of” material nonpublic information in breach of a duty of trust or confidence. ¹⁵

Leverage (U.S.) is not typically capped by a single “hedge fund leverage limit” statute. Practically, leverage is constrained via counterparties and market infrastructure: broker-dealers’ extension of credit is regulated (for example, Federal Reserve **Regulation T** governs credit by brokers and dealers and imposes margin requirements and payment rules), and FINRA rules impose margin frameworks on member broker-dealers. ¹⁶ This is why “prime brokerage” matters: BIS explains prime brokerage centers on providing leverage

(through derivatives and securities financing such as margin loans) plus access/clearing/custody infrastructure—i.e., the prime broker is a key private-sector risk gatekeeper. ¹⁷

Anti-money laundering (U.S.) has recently strengthened for advisers. FinCEN issued a final rule (August 28, 2024) to include certain investment advisers in the definition of “financial institution” under the Bank Secrecy Act and to impose minimum AML/CFT program standards and related requirements; the Federal Register text confirms this is a final rule and describes minimum AML/CFT and SAR requirements for covered advisers. ¹⁸ (As always, exact scope depends on the adviser’s status and activities.)

Important U.S. “status update”: private fund adviser rules were vacated

The SEC states that the Fifth Circuit’s June 5, 2024 decision vacated the 2023 “Private Fund Advisers; Documentation of Registered Investment Adviser Compliance Reviews” final rules, including newly adopted private-fund rules (quarterly statements, adviser-led secondaries, preferential treatment, restricted activities, adviser audits under the vacated rule) and vacated related amendments to the books-and-records rule and the compliance rule. ³ This matters because older articles and checklists may still talk as if those 2023 rules are “live.”

Even with that vacatur, “core” safeguards remain. For example, under the SEC **custody rule (Rule 206(4)-2)**, advisers with custody must use qualified custodians and meet verification obligations; and pooled vehicles can be treated as compliant with certain custody requirements if the vehicle is audited and distributes audited financial statements to investors within **120 days** of fiscal year-end (among other conditions). ¹⁹

EU overview (ESMA + national competent authorities under the AIFMD, MAR, SSR)

In the EU, hedge funds generally fall under the umbrella of **Alternative Investment Funds (AIFs)**, with regulation focused on the **AIFM** (Alternative Investment Fund Manager) under **AIFMD (Directive 2011/61/EU)** and on **market integrity** under **MAR** and **short-selling** under **SSR**. ²⁰

AIFMD is unusually explicit about internal risk governance:

- **Risk management independence and stress testing:** AIFMs must functionally and hierarchically separate risk management from portfolio management, implement risk management systems, review them at least annually, and ensure risks are monitored on an ongoing basis including via stress tests. ²¹
- **Leverage controls:** AIFMs must set a maximum level of leverage for each AIF, considering factors such as fund type, strategy, leverage sources, counterparty exposure, collateralization, and scale. ²²
- **Liquidity management:** For most AIFs (excluding unleveraged closed-ended AIFs), AIFMs must employ a liquidity management system, monitor liquidity risk, ensure the liquidity profile matches obligations, and run stress tests under normal and exceptional liquidity conditions. ²³
- **Organization, controls, and personal transactions:** AIFMD requires adequate resources and internal control mechanisms, including rules for employees’ personal transactions and requirements that fund transactions be reconstructable (who, what, when, where). ²⁴
- **Valuation:** AIFMD requires valuation to be performed impartially and with due skill/care; competent authorities can require external verification of valuation procedures/valuations in some cases. ²⁵
- **Depository oversight and conflicts:** AIFMD includes depository requirements and addresses conflicts (e.g., a prime broker acting as counterparty generally should not be depository unless functions are separated and conflicts managed/disclosed). ²⁶

- **Investor disclosures and reporting:** AIFMD requires disclosures about prime brokers and potential reuse/transfer of AIF assets and requires periodic disclosure of liquidity-related information. ²⁷
- **Regulator reporting (Article 24 / “Annex IV”):** AIFMs must report to regulators about principal markets/instruments, exposures, concentrations, illiquid assets and special arrangements, risk profiles/systems, and stress test results. ²⁸

EU **short selling** is governed by **Regulation (EU) No 236/2012 (SSR)**. It requires notification to regulators when net short positions cross thresholds (notably **0.2%** of issued share capital, then increments), and public disclosure when positions cross **0.5%** (then increments). ²⁹ It also restricts uncovered short sales: a person can short a share admitted to trading only if they have borrowed the share, arranged to borrow it, or otherwise have an enforceable claim so settlement can occur. ³⁰

EU **market abuse** is governed by **Market Abuse Regulation (EU) No 596/2014 (MAR)**. MAR sets the goal clearly: it establishes a framework for insider dealing, unlawful disclosure, and market manipulation to protect market integrity and enhance investor protection and confidence. ³¹ MAR prohibits insider dealing/unlawful disclosure (Article 14) and market manipulation (Article 15). ³² It also requires systems to prevent/detect market abuse and requires suspicious orders/transactions to be reported “without delay” by venues and by persons professionally arranging or executing transactions (Article 16). ⁴

Finally, EU leverage supervision has a “macroprudential” angle. ESMA’s **Guidelines on Article 25 AIFMD** aim for consistent supervisory practices on assessing leverage-related systemic risk and on when/how regulators should set leverage-related measures. ³³

UK overview (FCA + UK MAR + UK short selling reforms)

The UK has retained and adapted major EU-derived frameworks (AIFMD concepts, MAR concepts), supervised primarily by the **Financial Conduct Authority (FCA)**.

For market abuse, the FCA states that **UK MAR** aims to increase market integrity and investor protection and provides information on market abuse offences and exemptions. ³⁴ The FCA also provides guidance noting that insider dealing and market manipulation can amount to market abuse and highlighting the safeguards firms must have. ³⁵

For “systems and controls,” the FCA’s SYSC sourcebook includes hard requirements. For example, SYSC 3.2.6R requires firms to establish and maintain effective systems and controls for compliance and countering the risk the firm might be used to further financial crime. ³⁶

For AIFMD-style transparency reporting, the FCA’s Annex IV reporting document explains that AIFMD Articles 3 and 24 establish requirements for AIFMs to report transparency information to competent authorities about the AIFM and the AIFs they manage/market. ³⁷

For short selling, the UK has been actively reforming the inherited regime. The FCA explains the notification/disclosure regime for net short positions under the short-selling regulation framework. ³⁸ The FCA’s 2025 consultation paper says the **UK Short Selling Regulation (UK SSR)** is assimilated law incorporated via the EU (Withdrawal) Act and outlines phased implementation planning for a changed regime. ³⁹ UK legislation in **The Short Selling Regulations 2025** defines key terms and establishes the new legislative framework replacing the assimilated EU SSR approach. ⁴⁰

Internal risk compliance controls hedge funds typically use

Think of hedge-fund compliance as a **factory quality-control system** for trading. The point is not to predict markets; it's to prevent avoidable blow-ups, illegal trades, and operational mistakes—especially under stress.

A simple “institutional” workflow (not a promise every fund works this way) looks like this:

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flowchart LR
  A[Trade idea] --> B[Pre-trade compliance checks]
  B --> C[Pre-trade risk checks]
  C --> D[Order routing/execution]
  D --> E[Post-trade controls]
  E --> F[Ongoing monitoring & escalation]
  F --> G[Investor/regulator reporting]

  B --> B1[Restricted list / MNPI checks]
  B --> B2[Short-sale locate/borrow checks]
  B --> B3[Market-abuse red flags]
  C --> C1[Position & leverage limits]
  C --> C2[Liquidity limits]
  C --> C3[Counterparty exposure limits]
  E --> E1[Reconciliation & confirmations]
  E --> E2[Trade surveillance review]
  F --> F1[Stress tests & scenario analysis]
  F --> F2[Valuation governance]
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Below are the controls you asked for, explained in plain language, with the “why.”

Risk limits (exposure, leverage, concentration)

A hedge fund typically sets numeric limits like: “maximum gross exposure,” “maximum net exposure,” “max position size,” “max sector or country concentration,” and “max portfolio leverage.” In the EU this maps directly to AIFMD’s requirement to set a **maximum leverage level** for each fund and to consider counterparty exposure, collateralization, and fund strategy when setting it. ²² The “why” is simple: leverage and concentration are multipliers—when you’re wrong, you can be *more wrong, faster*.

Pre-trade controls (before an order is sent)

Pre-trade controls are “hard stops” or warnings embedded in the trade ticketing process. Typical checks include:

- **MNPI / restricted list checks:** If research staff might have inside information, the security goes on a restricted list so trading is blocked or tightly controlled. This is a practical response to insider-trading risk under rules like U.S. Rule 10b-5 and Rule 10b5-1, and EU/UK MAR prohibitions. ⁴¹
- **Short-sale mechanics checks:** If the trade is a short sale, systems require evidence of borrow availability (“locate”), consistent with Regulation SHO’s locate requirement and close-out framework.

- **Position and liquidity checks:** Systems prevent a trader from entering an order that would breach limits or create an unrealistic “days to exit” problem. EU AIFMD explicitly requires liquidity management systems (for most funds) and liquidity stress tests. ⁴²

Post-trade monitoring (after a trade is done)

Institutions assume that some errors will get through. Post-trade controls include reconciliations (did we actually do what we think we did?), breaks management, and exception reports. AIFMD’s general principles emphasize internal controls and the ability to reconstruct transactions (origin, parties, nature, time/place). ²⁴ The “why” is operational: if you can’t reconstruct trades, you can’t reliably value the fund, answer investors, or defend yourself to regulators.

Counterparty limits and margining

A hedge fund is rarely “just trading.” It’s usually trading through one or more **prime brokers** and derivative counterparties. The fund sets limits like “max exposure to Prime Broker A” and “max OTC exposure to Dealer B.” In the real world, prime brokers are also running their own risk engines; BIS describes prime brokerage as providing leverage via derivatives and securities financing (e.g., margin loans) plus infrastructure like market access, custody, and clearing. ¹⁷ The “why” is basic credit risk: if a counterparty fails, or tightens margin suddenly, the fund can be forced to unwind positions at the worst time.

Liquidity management and investor terms

Liquidity management means aligning the fund’s assets with its promises to investors. If investors can redeem monthly, the fund can’t put *too much* into positions that take months to sell without major losses. AIFMD requires AIFMs (for most AIFs) to maintain liquidity management systems, monitor liquidity risk, and run liquidity stress tests under normal and exceptional conditions. ⁴²

Stress testing (market and liquidity scenarios)

A stress test is simply: “What happens if something bad—yet plausible—occurs?” AIFMD directly calls for ongoing risk monitoring “including through the use of appropriate stress testing procedures,” and separately requires liquidity stress tests. ²¹ AIFMD reporting also includes providing regulators the results of these stress tests. ⁴³ The “why” is not predicting crises; it’s ensuring the fund can survive them without disorderly dumping.

Valuation policies (how prices are determined)

Valuation governance prevents the conflict “mark it how I want because it helps my performance fee.” AIFMD requires valuation to be performed impartially and allows competent authorities to require verification of valuation procedures/valuations. ²⁵ U.S. custody-rule practice also pushes toward independent audits and disciplined valuation because audited financials are part of a common compliance path for pooled vehicles. ¹⁹

Conflicts of interest controls

Conflicts controls cover things like personal trading, allocation of trades between funds, side-by-side management, and prime-broker relationships. AIFMD requires identifying, preventing/managing/monitoring conflicts, segregating incompatible tasks, and disclosing remaining conflicts to investors. ⁴⁴ In the U.S., advisers must have a written **code of ethics** that includes standards of conduct and personal trading reporting/review requirements for “access persons.” ⁴⁵

Trade surveillance and market-abuse monitoring

This is the “are our orders doing something illegal or suspicious?” function. EU MAR requires trading venues and investment firms to have arrangements to prevent/detect market abuse and to report suspicious orders/transactions “without delay,” and similarly requires persons professionally arranging or executing transactions to detect and report suspicious activity. 4 The FCA’s market-abuse guidance likewise emphasizes safeguards and surveillance expectations. 35

Recordkeeping

Recordkeeping is the memory of the compliance system: order tickets, approvals, communications, trade blotters, risk reports, valuations, and investor letters. In the U.S., Advisers Act Rule 204-2 requires registered (or required-to-be-registered) advisers to maintain specified books and records. 46 In the EU, AIFMD’s organizational principles also emphasize controls and the reconstructability of transactions. 24

How compliance makes hedge funds behave differently from retail traders

Hedge funds don’t just trade “faster.” They trade inside a risk-and-control machine because (a) they are managing other people’s money, (b) their leverage is often institutional (prime brokers), and (c) regulators expect governance, monitoring, and reporting across multiple dimensions (risk, liquidity, market abuse, conflicts). 47

A particularly concrete operational difference is that institutional trading is built to settle quickly and cleanly. The SEC shortened the standard settlement cycle for most broker-dealer transactions to T+1 effective May 28, 2024, which pressures institutions toward automation, affirmations, and operational discipline. 48

Comparison table

Attribute	Hedge fund / institutional trading	Typical retail trading
Speed and automation	Often uses OMS/EMS, automated limit checks, and straight-through processing; speed is paired with controls so errors are caught early. 49	Often manual; broker platform may provide some risk tools, but fewer systematic gates.
Pre-trade checks	Formal compliance/risk checks (restricted list/MNPI, leverage, concentration, liquidity, short-locate). 50	Usually the trader’s own checklist; broker enforces basic rules (margin, locate via broker for shorts). 51
Access to leverage	Typically via prime brokers and derivatives; financing is actively managed and margined. 17	Margin depends on broker terms; subject to Reg T framework and broker rules; day trading on margin can trigger PDT constraints. 52

Attribute	Hedge fund / institutional trading	Typical retail trading
Short selling	Infrastructure for borrowing via prime brokers; subject to Reg SHO in the U.S. and SSR in EU/UK. ⁵³	Usually limited by broker borrow availability; still subject to market short-sale rules; can face hard-to-borrow fees/recalls. ¹³
Liquidity management	Often formalized at fund level (match assets to redemption terms; stress tests). In EU, this is explicitly required for most AIFs. ⁴²	Often informal; retail traders may underestimate liquidity/spreads until volatility spikes.
Counterparty management	Multiple counterparties with exposure limits; prime broker is a dominant risk node. ¹⁷	Usually a single broker; counterparty risk is mostly broker/platform risk.
Post-trade monitoring	Independent reconciliation, risk reporting, trade surveillance, escalation procedures. ⁵⁴	Broker statements + personal review; fewer formal surveillance obligations on the trader, but laws still apply. ⁵⁵
Oversight and accountability	Multiple layers: PM, risk team, compliance, operations, external audit/custody processes. ⁵⁶	Usually self-oversight; broker compliance focuses on its own regulatory obligations.
Reporting footprint	Private: Form PF (confidential) for eligible advisers; public: 13F for qualifying managers; EU/UK: AIFMD Annex IV/Article 24 reporting. ⁵⁷	Generally none to regulators (unless you become very large or have special status), but you remain subject to anti-fraud and market-abuse laws. ⁵⁸

Practical, legal ways retail traders can use hedge-fund-like practices

You don't need a hedge fund structure to adopt the most valuable hedge-fund habits. The "secret sauce" is often **process discipline**, not secret information.

Use a risk budget instead of a prediction budget

A hedge fund might say "we can be wrong on this theme and only lose X." You can do the same: decide what fraction of your account you are willing to lose in a month (for example) and size trades so a normal bad outcome doesn't wipe you out. This mirrors the AIFMD mindset of identifying/monitoring risks and using stress tests, just simplified for a person. ²¹

Position sizing with a single "loss number"

Pick one number before entering: "If this goes against me to *this* level, I lose \$___." Then size the position so the loss is tolerable. This is the retail version of institutional exposure limits and leverage limits. ⁵⁸

Prefer limit orders when liquidity is thin

If you trade small caps, options with wide spreads, or crypto-like volatile products, market orders can hand

you a bad fill. Using limit orders reduces “micro market impact.” This is a retail analogue of institutional execution discipline (where transaction costs and market impact are tracked carefully).

Understand settlement and “when cash is really cash”

With U.S. markets on **T+1** settlement, the mechanics of “funds available” can change quickly (especially in cash accounts). The SEC’s investor bulletin explains the move to T+1 and what settlement means operationally. ⁵⁹

Avoid accidental leverage traps

Retail margin is easy to turn on and hard to manage emotionally. Regulation T is the backbone for broker-dealer credit extension in the U.S., and brokers layer house rules on top. ⁶⁰ If you day trade actively in a margin account, U.S. broker rules can label you a “pattern day trader” with a **\$25,000 minimum equity requirement** under FINRA Rule 4210. ⁶¹ Even if you don’t day trade, margin amplifies mistakes.

Build your own “compliance” rules if your day job creates MNPI risk

If you work in tech, biotech, finance, or any firm with earnings or M&A exposure, you can unintentionally come across MNPI. Institutional code-of-ethics frameworks exist precisely to manage personal trading conflicts and MNPI risk. ⁴⁵ Your retail version: keep a personal restricted list and simply don’t trade names where you might have privileged information (or consult counsel if this is a serious risk).

Risks and legal or ethical boundaries for retail traders

Even though hedge funds have more infrastructure, **retail traders are generally subject to the same core market-integrity prohibitions.**

Insider trading (don’t trade on MNPI)

U.S. Rule 10b5-1 describes insider trading as trading “on the basis of” material nonpublic information in breach of a duty of trust/confidence. ¹⁵ EU MAR prohibits insider dealing and unlawful disclosure of inside information. ³² UK MAR is similarly aimed at market integrity and investor protection. ³⁴

Market manipulation and false statements

EU MAR flatly prohibits market manipulation (and attempts). ³² In the U.S., Rule 10b-5’s anti-fraud scope is also used in market manipulation contexts. ⁶² Practical boundary: avoid “pump” behavior (spreading false rumors), coordinated manipulation, wash trading, spoof-like conduct, or deceptive schemes.

Short-selling rules are real, and your broker enforces them

In the U.S., Regulation SHO requires locate and close-out disciplines and includes the Rule 201 circuit breaker framework. ¹³ In the EU, SSR includes net short position transparency thresholds and bans uncovered short sales unless settlement can be ensured through borrowing/arrangements. ⁶³ The UK is changing its short selling framework (new regulations and FCA consultation), so relying on old blog summaries can be dangerous—check current FCA/UK rules if you trade UK shares at size. ⁶⁴

Financial crime and “who you’re trading for”

If you ever move from “trading my own account” to trading for others (even informally), you can trigger licensing/AML obligations. In the U.S., FinCEN’s final rule extending AML/CFT obligations to certain

investment advisers underscores that regulators care about the adviser sector being used for illicit finance.

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Simple examples and a short actionable checklist

Example of hedge-fund-like thinking in a retail trade

Scenario: you want to buy a volatile stock ahead of earnings.

A hedge fund would separate (1) “is the idea good?” from (2) “can we survive if wrong?” You can do the same:

- Define the maximum loss you’ll accept **before** you click buy.
- Size the position so that loss is tolerable even if the stock gaps overnight.
- Use a **limit order** to avoid paying an extreme spread.
- Write down: “What would make me exit even if I’m embarrassed?” (Process beats pride.)

This aligns with the institutional logic of explicit risk controls and stress thinking (AIFMD requires systemic risk monitoring and stress testing concepts; funds operationalize these ideas internally as limits). ⁶⁵

Example of a compliance boundary

Scenario: you overhear a friend say their company will be acquired next week.

A hedge fund would treat this as potential MNPI and block trading (restricted list). In retail terms: **do not trade** on it. U.S. rules treat trading on MNPI in breach of duty as part of the 10b-5 anti-fraud framework.

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Retail trader checklist

Use this as a lightweight “institutional-style” checklist (keep it short enough you’ll actually use it):

- **Legality / ethics:** Am I relying on information that could be MNPI or a rumor from an insider? If yes, stop. ⁶⁷
- **Trade purpose:** Is this a trade (time-bounded) or an investment (thesis-based)? Write one sentence.
- **Liquidity:** What’s the bid-ask spread and typical volume? If it’s wide/thin, default to limit orders.
- **Risk number:** What is my maximum loss in dollars if I’m wrong?
- **Sizing:** Does the position size make that loss tolerable? If not, size down.
- **Leverage check:** Am I using margin or options? If yes, do I understand the broker rules and potential constraints (e.g., PDT rules for margin day trading in the U.S.)? ⁶⁸
- **Short-sale mechanics (if shorting):** Has my broker confirmed borrow/locate and do I understand Reg SHO constraints (U.S.)? ¹³
- **Exit plan:** Under what condition do I exit (profit, loss, time stop, thesis broken)?
- **Post-trade note:** After the trade, record what happened (fills, slippage, emotion) and one improvement for next time—your “personal compliance review.”

This checklist is the retail equivalent of what an institutional compliance program is designed to achieve: reduce violations and prevent avoidable risk, consistent with the overall regulatory expectation that controls

exist and are reviewed (e.g., U.S. Rule 206(4)-7 requires written policies/procedures and annual review for advisers; EU AIFMD requires robust risk and liquidity systems for AIFMs). ⁶⁹

¹ <https://www.sec.gov/resources-small-businesses/capital-raising-building-blocks/private-funds>

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